

Stock Market Basics Research Report

Introduction

The stock market is an essential part of the global financial system. It provides a platform where investors can buy and sell shares of companies. By investing in stocks, individuals and institutions become partial owners of companies and can benefit from their growth. The stock market plays a significant role in economic development by mobilizing savings, providing capital to businesses, and creating investment opportunities. In India, the stock market is regulated by the Securities and Exchange Board of India (SEBI), which ensures transparency and protects investors.

What is the Stock Market?

A stock market is a marketplace where securities such as shares, bonds, and other financial instruments are issued and traded. It enables companies to raise funds from the public and allows investors to participate in the ownership of businesses. When a company needs money for expansion, research, or operational activities, it can issue shares to the public through the stock market.

Investors purchase these shares with the expectation of earning returns in the form of dividends and capital appreciation. The prices of stocks fluctuate depending on factors such as company performance, economic conditions, industry trends, and investor sentiment. In India, major stock exchanges include the Bombay Stock Exchange (BSE) and the National Stock Exchange (NSE). These exchanges facilitate smooth and transparent trading activities.

The stock market contributes significantly to economic growth. It channels savings into productive investments, helps companies expand their operations, creates employment opportunities, and encourages entrepreneurship. Furthermore, it offers investors liquidity, meaning they can buy or sell shares relatively easily whenever needed.

Primary Market vs Secondary Market

The stock market is broadly divided into two segments: the primary market and the secondary market.

Primary Market

The primary market is the market where new securities are issued for the first time. Companies raise fresh capital from investors by issuing shares through methods such as Initial Public Offerings (IPOs), Follow-on Public Offerings (FPOs), and rights issues. In this market, investors buy securities directly from the issuing company. The funds collected are utilized by the company for business expansion, debt repayment, infrastructure development, or other corporate purposes.

For example, when a company launches an IPO, investors subscribe to its shares in the primary market. Once the allotment process is completed, the shares are listed on a stock exchange.

Secondary Market

The secondary market is the market where already issued securities are traded among investors. After shares are listed on stock exchanges such as the NSE or BSE, investors can buy and sell them through brokers. In this market, the company does not receive funds from transactions; instead, ownership of shares changes between investors.

The secondary market provides liquidity, price discovery, and continuous trading opportunities. It enables investors to exit their investments whenever necessary. Stock prices in the secondary market fluctuate continuously based on demand and supply.

Differences between Primary and Secondary Markets

1. In the primary market, securities are issued for the first time, whereas in the secondary market, existing securities are traded.
2. In the primary market, funds go directly to the company; in the secondary market, funds are

exchanged among investors.

3. The primary market deals with new issues, while the secondary market facilitates regular trading.

4. Examples of the primary market include IPOs and FPOs, whereas examples of the secondary market include trading on NSE and BSE.

Role of SEBI in India

The Securities and Exchange Board of India (SEBI) is the regulatory authority responsible for overseeing the securities market in India. SEBI was established in 1988 and received statutory powers through the SEBI Act, 1992. Its primary objective is to protect investor interests, regulate market participants, and promote the development of the securities market.

SEBI performs several important functions:

1. **Investor Protection:** SEBI safeguards investors from fraudulent and unfair trade practices. It ensures that investors receive accurate and timely information.

2. **Regulation of Market Intermediaries:** SEBI regulates stock brokers, merchant bankers, mutual funds, and other intermediaries operating in the securities market.

3. **Market Regulation:** SEBI formulates rules and guidelines to ensure fair, transparent, and efficient market operations.

4. **Prevention of Malpractices:** SEBI monitors insider trading, price manipulation, and other unethical practices to maintain market integrity.

5. **Development of the Securities Market:** SEBI introduces reforms and technological advancements to improve market efficiency and encourage participation.

Conclusion

The stock market is a vital component of the economy, facilitating capital formation and investment opportunities. The primary market helps companies raise funds, while the secondary market provides liquidity and continuous trading. In India, SEBI plays a crucial role in ensuring transparency, protecting investors, and promoting orderly market growth. A well-regulated stock market contributes significantly to economic development and financial stability.